

The Odds Moved Less Than the Evidence

September hike odds rose nine points on Friday. The evidence underneath them changed by more than that.

THE READING

August payrolls printed 162,000 against a consensus near 53,000 — the strongest month since March, unemployment steady at 4.1%, June and July both revised up. Odds of a hike at the 15–16 September FOMC moved to 58% from 49.4% the day before. The S&P 500 closed down 0.38% at 7,718.60, back inside the 7,602–7,744 range Hedgeye published on Thursday after closing above it. Gold gave back 2.2% to \$4,376. The 30-year sat at 5.24%. Two days earlier those same odds had fallen to roughly 50% on one sentence from Christopher Waller. The consensus missed the payroll number by a factor of three, and the index moved a third of a per cent.

WHAT WISDOM WOULD SAY

Keynes, in *A Treatise on Probability*, separates two properties of an argument that are easy to run together. One is its probability: the balance of favourable evidence against unfavourable. The other he calls its weight — the sheer amount of relevant evidence the balance rests on. New information always raises the weight. It may raise the probability, lower it, or leave it exactly where it was.

Friday moved both, and unequally. The probability went from 49.4 to 58. The weight went from a governor's stated willingness to hold, which is a preference, to a labour-market print that the whole Committee will read. Nine points understates that change.

Thursday's coin flip was a thin argument about what one official might prefer; Friday's 58% is a thicker argument about what the data will oblige the Committee to do. Those are not the same object with a different number on it. The tape repriced the number and left the confidence roughly alone.

THE RISK IT JUSTIFIES

Markets are shut, so the only move available is the one that costs nothing. Write the CPI call down before Monday can edit it: a number for core month-on-month, a probability for the hike, dated today. The 11 September print is what settles September, and a forecast recorded after the fact is not a forecast.

On positioning, the index no longer sits through the top of its range. That removes an argument for trimming; it does not supply one for adding. Gold has now given back on two separate sessions for two different reasons, which is a case for leaving it alone rather than averaging into it. And a 58% carrying real weight is a worse setting for selling volatility than a 50% carrying almost none.

What would change the answer: a large revision to the payroll series, or a soft CPI. Either moves the probability. Neither adds much weight.

If the odds had not moved at all on Friday, would you have called that no news?